

# Session 2 — Shareholders' versus Stakeholders' View of the Firm: the "Corporate Purpose"

By the end of this session you must know the core and extended assumptions of the shareholder view, why ownership rights (residual income and residual control) are treated as the key governance mechanism, the property versus social entity conceptions of the firm, the stakeholder map and its four types of power, the four competing definitions of what a corporation is for, and the 2019 Business Roundtable shift toward stakeholder capitalism.

## Plan

1. The Shareholder View: Core Assumptions
2. The Shareholder View: Extended Assumptions
3. Ownership Rights as the Key Governance Mechanism
4. Two Theories of the Firm: Property versus Social Entity
5. The Stakeholder Perspective and the Stakeholder Map
6. Four Definitions of What Corporate Governance Is For
7. Recent Developments: the Business Roundtable and Stakeholder Capitalism
8. Common Mistakes and Exam Traps
9. Must Know Absolutely

## 1. The Shareholder View: Core Assumptions

**Shareholder view (core claim):** the corporation exists primarily to maximize shareholder value; shareholders, as residual claimants, are the ultimate owners, and managers act as their agents.

The lecture builds this view from four linked assumptions, each illustrated with a real company:

- **The corporation's purpose is to maximize shareholder value** — shareholder wealth is treated as the ultimate corporate goal (e.g. Coca-Cola's focus on dividend stability and growth for long-term shareholders).
- **Shareholders are residual claimants of profits** — they receive whatever remains after all other obligations (debt, wages, taxes) are paid (e.g. Apple distributing dividends and share buybacks out of residual income).
- **Managers and boards act as agents of shareholders** — agency theory: managers must act in the best interest of the owners who delegated decision power to them (e.g. ExxonMobil's board coming under shareholder pressure to change climate policies).
- **Stakeholders are considered only instrumentally** — employees, customers and suppliers matter mainly as means to the end of shareholder value, not as ends in themselves (e.g. Amazon investing in logistics efficiency mainly to improve profitability and shareholder value).

## 2. The Shareholder View: Extended Assumptions

Beyond the four core assumptions, the shareholder view only holds together if five further conditions are also assumed to be true:

- **Maximizing shareholder value maximizes corporate value** — shareholder value is treated as a proxy for overall efficiency (e.g. Apple reinvesting profits in innovation, which is framed as benefiting shareholders, employees and customers together).
- **Financial markets are efficient** — prices are assumed to reflect available information (e.g. Tesla's stock reacting immediately to announcements such as innovations or recalls).

- **Shareholder value maximization disciplines managers** — poor performance is punished by a falling stock price, which puts pressure on managers to perform (e.g. Boeing's CEO being dismissed after the 737 Max crisis).
- **Stock-based incentive plans align managers with shareholders** — tying executive pay to the stock price is assumed to align managers' interests with owners' interests (e.g. Amazon's CEO pay package being tied to long-term stock growth).
- **The market for corporate control disciplines managers** — poorly performing firms become takeover targets (e.g. Yahoo!'s decline, Microsoft's hostile bid, and its eventual acquisition by Verizon).

**Watch out:** the extended assumptions are not independent facts, they are conditions the whole shareholder-view argument depends on — if markets are not efficient, or incentive pay does not actually align interests, the argument that shareholder value maximization is good for everyone weakens accordingly.

### 3. Ownership Rights as the Key Governance Mechanism

**The firm as a nexus of contracts:** the firm is a web of implicit and explicit contracts regulating the rights and duties of its stakeholders. Explicit contracts are legal agreements (salary, loan repayment, supply deals); implicit contracts are informal expectations (job security, product quality, long-term trust).

To perform well over the long term, a company must set up contracts that attract key resources and motivate stakeholders to behave honestly. Given that contracts can never cover every future situation, ownership rights become the key governance mechanism for handling what the contracts don't specify:

- **Residual income rights** — the right to appropriate profits after all contractual obligations are met (example: Apple distributes dividends to shareholders only after paying employees, taxes and debt).
- **Residual control rights** — the right to control decisions and company assets, i.e. the right to decide when a contract is silent or incomplete (example: Microsoft shareholders vote on dividend policy and elect board members).

Residual control rights are allocated to shareholders specifically because they are the ones who receive residual income and are therefore most exposed to being expropriated by managers when contracts are incomplete; shareholders also need to decide on key corporate matters such as dividend policy, capital increases, corporate by-laws and the election of board members.

**General Electric (2018):** after years of poor performance, shareholders used their residual control rights to replace board members, push for the CEO's dismissal, and approve a major restructuring plan.

**Watch out:** ownership rights are a powerful governance mechanism but "not a full solution" per the lecture — controlling shareholders can themselves expropriate other stakeholders by exploiting contract gaps, and both judicial systems and markets are imperfect. Allocating ownership rights is described as an important \*tool\* to mitigate conflicts and agency costs, not a guarantee that conflicts disappear. The session's key question is stated explicitly: who should control a corporation to maximize its long-term survival and prosperity?

### 4. Two Theories of the Firm: Property versus Social Entity

**Classical finance definition (Shleifer & Vishny, 1997):** "Corporate governance deals with how suppliers of finance assure themselves of returns on their investment."

The lecture contrasts two competing conceptions of what a corporation fundamentally is:

|                         | Property Conception                      | Social Entity Conception                                                              |
|-------------------------|------------------------------------------|---------------------------------------------------------------------------------------|
| Definition              | Corporation as a nexus of contracts      | Corporation as a social institution                                                   |
| Assets                  | Belong to shareholders                   | Used for the benefit of multiple stakeholders                                         |
| Role of managers/boards | Agents of shareholders                   | Trustees balancing diverse interests                                                  |
| Primary purpose         | Maximize shareholder value               | Create long-term value for shareholders and stakeholders                              |
| Example                 | ExxonMobil, focus on shareholder returns | Unilever, "Sustainable Living Plan" balancing profits with social/environmental goals |

## 5. The Stakeholder Perspective and the Stakeholder Map

Under the stakeholder perspective, different stakeholders influence the corporation through four distinct types of power:

- **Voting power** — exercised through equity stakes (ownership of company shares); rights include electing/removing board members and approving dividends, M&A and by-law changes.
- **Political and regulatory power** — governments, regions and regulatory authorities influencing the firm through taxation, regulation, subsidies and licenses.
- **Environmental and social power** — customers pushing sustainability demands, local communities defending their "social license to operate", public authorities setting environmental standards and emission rules.
- **Economic power** — employees (labor contribution), customers (demand, brand loyalty), suppliers (critical inputs, supply chain) and competitors (market dynamics, price pressure).

## 6. Four Definitions of What Corporate Governance Is For

The lecture organizes possible definitions of corporate governance along two axes, internal versus external perspective and unitary versus balancing perspective:

- **Shareholder definition** — focus on maximizing shareholder value (example: ExxonMobil prioritizing shareholder returns).
- **Stakeholder definition** — focus on balancing the interests of all stakeholders (example: Unilever emphasizing sustainable growth for customers, employees and communities).
- **Managerial definition** — focus on the interests of managers themselves (empire building, perks, job security); the lecture cites cases like Enron as showing managerial capture and self-interest.
- **Firm definition** — focus on what is best for the firm's own long-term survival and competitiveness (example: Toyota investing in innovation and quality for sustainable competitiveness).

## 7. Recent Developments: the Business Roundtable and Stakeholder Capitalism

**Business Roundtable Statement (2019):** 181 CEOs of major US corporations signed a statement redefining corporate purpose. Core message: companies exist not only to serve shareholders, but to create value for all stakeholders. Key commitments included delivering long-term value to customers, investing in employees (training, fair compensation, diversity), dealing fairly with suppliers, supporting communities, and generating long-term value for shareholders. The lecture frames this as a shift from shareholder primacy toward stakeholder capitalism, and cites BlackRock CEO Larry Fink echoing the same message by calling on companies to serve a "social purpose" alongside profit.

## 8. Common Mistakes and Exam Traps

- Treating the four core assumptions of the shareholder view as a description of how firms always behave, rather than as an internally consistent **argument** that only holds if its extended assumptions (efficient markets, effective discipline mechanisms) also hold.
- Confusing residual income rights (the right to what's left over after obligations are paid) with residual control rights (the right to decide when contracts are silent) — they are two distinct rights, both allocated to shareholders for related but different reasons.
- Treating the property conception and the social entity conception as differing only in "how nice" they are to stakeholders — they differ structurally in who assets belong to and what managers' role is (agents versus trustees).
- Mixing up the four types of stakeholder power (voting, political/regulatory, environmental/social, economic) — each operates through a different channel and different actors.
- Confusing the four **definitions** of what corporate governance is for (shareholder, stakeholder, managerial, firm) with the two **theories of the firm** (property, social entity) — they are related but separate frameworks introduced at different points in the session.
- Treating the Business Roundtable statement as a binding legal change — it is a voluntary statement signed by CEOs, illustrating a shift in stated priorities, not a change in corporate law.

## 9. Must Know Absolutely

### Must know:

- Shareholder view core assumptions, maximize shareholder value, shareholders as residual claimants, managers as agents, stakeholders considered only instrumentally
- Shareholder view extended assumptions (conditions the argument depends on), efficient markets, discipline via falling stock price, stock-based incentives, market for corporate control
- Residual income rights (claim on leftover profit) versus residual control rights (right to decide when contracts are incomplete), both allocated to shareholders
- Property conception (nexus of contracts, managers as agents of shareholders) versus social entity conception (social institution, managers as trustees for multiple stakeholders)
- Four types of stakeholder power, voting, political/regulatory, environmental/social, economic
- Four definitions of corporate governance's purpose, shareholder, stakeholder, managerial, firm
- Business Roundtable (2019), 181 CEOs redefine corporate purpose toward stakeholder capitalism, echoed by Larry Fink/BlackRock

## Watch Out

**Watch out:** ownership rights are described as an important tool to mitigate stakeholder conflicts and agency costs, not a complete solution, since controlling shareholders can themselves expropriate others and both contracts and legal enforcement are imperfect (Section 3).